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Case Number: 25TRCV04354 Hearing Date: June 30, 2026 Dept: P

Motion to Transfer Venue

Moving Party: Defendant Vigilant Insurance Company

Responding Party: Plaintiff City of Torrance

RULING

The court considered the moving papers, opposition, and reply. Vigilant's Motion to Transfer Venue is DENIED.

PROCEDURAL BACKGROUND

On December 26, 2025, Plaintiff City of Torrance ("Plaintiff") filed a complaint against Defendants Tobo Construction, Inc. ("Tobo"), Vigilant Insurance Company ("Vigilant"), and DOES 1-200, inclusive, alleging four causes of action for: (1) Breach of Written Contract (Count 1); (2) Breach of Written Contract (Count 2); (3) Enforcement of Public Works Performance Bond; and (4) Declaratory Relief.

On March 5, 2026, Vigilant filed the instant motion. On June 15, 2026, Plaintiff filed an opposition. On June 23, 2026, Vigilant filed a reply.

FACTUAL BACKGROUND

Plaintiff alleges that on March 20, 2018, it entered into a written contract (the "Tobo Contract") with Tobo for the construction of the Torrance Transit Park and Ride Regional Terminal (the "Project"). (Complaint, ¶¶ 1, 7.) Plaintiff alleges that the Tobo Contract required a completion of the Project by no later than October 4, 2019, yet the Project was not completed until October 31, 2023. (Complaint, ¶ 7.) Plaintiff alleges that the Tobo Contract included a liquidated damages provision that required Tobo to pay $3,000.00 for each day that Tobo was late in completing the Project. (Complaint, ¶ 7.) Plaintiff alleges that it terminated the Tobo Contract on October 16, 2019 due to Tobo's failure to comply with the Project schedule. (Complaint, ¶ 9.)

Next, Plaintiff alleges that on June 1, 2020, Plaintiff and Vigilant entered into an agreement for Vigilant to complete the Project (the "Takeover Agreement"). (Complaint, ¶ 11.) Plaintiff alleges that the terms and conditions of the Tobo Contract applied, and the Takeover Agreement required Vigilant to complete the Project by August 8, 2021. (Complaint, ¶ 11.) Plaintiff alleges that the Project was not completed until October 31, 2023. (Complaint, ¶ 11.)

LEGAL STANDARD

“The court may, on timely motion, order transfer of an action ‘[w]hen the court designated in the complaint is not the proper court.’ [Citations] The moving party must overcome the presumption that the plaintiff has selected the proper venue. [Citation] Thus, ‘[i]t is the moving defendant’s burden to demonstrate that the plaintiff’s venue selection is not proper under any of the statutory grounds.’ [Citation] In opposing the motion to change venue, ‘[t]he plaintiff may bolster his or her choice of venue with counter-affidavits consistent with the complaint’s theory of the type of action but amplifying the allegations relied upon for venue.’ [Citation]” (Fontaine v. Superior Court (2009) 175 Cal.App.4th 830, 836.)

“A corporation or association may be sued in the county where the contract is made or is to be performed, or where the obligation or liability arises, or the breach occurs; or in the county where the principal place of business of such corporation is situated, subject to the power of the court to change the place of trial as in other cases.”(Code Civ. Proc., Section 395.5; Rosas v. Superior Court (1994) 25 Cal.App.4th 671, 673-674 [“For purposes of venue, a corporation has been deemed bound by its designation of a principal place of business in corporate documents filed with the Secretary of State”].) The burden is on the moving party to establish facts justifying the transfer. (Mission Imports, Inc. v. Superior Court (1982) 31 Cal.3d 921, 928.)

DISCUSSION

Moving Party’s Argument

Vigilant seeks an order transferring this action to the Superior Court of California, County of Orange on the grounds that Code of Civil Procedure Section 394 requires transfer to a neutral county when a local agency is a party and a nonresident defendant moves for venue transfer. Vigilant states that it is a New York corporation with its principal place of business in New Jersey.

Opposing Party’s Argument

Plaintiff argues that Vigilant has no standing to invoke Section 394 because it only applies to actions brought by a county, city, or local agency against a resident of another county, but here, Vigilant concedes that it is not a resident of any California city or county. Plaintiff also argues that Vigilant has not provided sufficient evidence to show that it lacks sufficient connection to Los Angeles County. Plaintiff argues that Vigilant has regular business activity in Los Angeles County such that it will not be prejudiced by the action proceeding in Los Angeles County Superior Court. Plaintiff argues that if the court determines that a change of venue is required, the action should be removed to Riverside County.

Reply Argument

Vigilant argues that Plaintiff has failed to present evidence showing that Vigilant is a resident of Los Angeles County or is doing business in Los Angeles County. Vigilant argues that it has standing to invoke CCP Section 394 because it is a New York corporation with no major branch offices in Los Angeles County and no substantial connections there. Vigilant argues that it would suffer prejudice if the action remains in Torrance because potential jurors may be employed by Plaintiff or would be affected by the Project at the heart of the action. Vigilant argues that based on the language of the Takeover Agreement, Los Angeles County is not the only venue where this action can be litigated.

Evidentiary Objections

Plaintiff's evidentiary objection to Paragraph 5 of the Declaration of Morgan S. Fletcher is SUSTAINED.

Merits of the Motion

Vigilant moves to transfer venue pursuant to Code of Civil Procedure Section 394(a), which provides, in pertinent part:

"[A]ny action or proceeding brought by a county, city and county, city, or local agency within a certain county, or city and county, against a resident of another county, city and county, or city, or a corporation doing business in the latter, shall be, on motion of either party, transferred for trial to a county, or city and county, other than the plaintiff, if the plaintiff is a county, or city and county, and other than that in which the plaintiff is situated, if the plaintiff is a city, or a local agency, and other than that in which the defendant resides, or is doing business, or is situated."

(Code Civ. Proc., Section 394(a).)

Section 394 is "designed to insure a fair trial by protecting against local bias. The legislation is based on the premise that there is a substantial risk of prejudice in favor of a local governmental entity." (Westinghouse Elec. Corp. v. Sup. Ct. (1976) 17 Cal.3d 259, 271.) A corporation sued by a local governmental entity is not entitled to a venue transfer pursuant to Section 394 if the corporation is "doing business" in the county. (Ibid.) A "corporation is doing business in a county for purposes of section 394 only if its activities in the county are substantial enough that the corporation can reasonably be viewed as being intimately identified with the affairs or closely associated with the people of the community." (Ibid.)

"The burden of proof justifying a change of venue rests on the moving party." (Los Angeles v. Pacific Tel. & Tel. Co. (1958) 164 Cal.App.2d 253, 260.)

In support of its motion, Vigilant offers the declaration of Morgan S. Fletcher ("Fletcher"), the Authorized Representative of Vigilant and an Assistant Vice President of Surety Claims for Vigilant. (Fletcher Decl., ¶¶ 1-2.) Fletcher has served as the "principal claim representative for Vigilant on the default of [Tobo] which occurred in 2019 and the investigation and resolution of payment bond claims and performance bond claims against the bond issued by Vigilant…for [Tobo]." (Fletcher Decl., ¶ 3.) Fletcher declares that Vigilant is a New York Corporation with its principal executive office located in New Jersey. (Fletcher Decl., ¶ 4.) Fletcher declares that Vigilant does not maintain any major branch offices in Los Angeles County and is not a resident of Los Angeles County. (Fletcher Decl., ¶ 4.) Finally, Fletcher declares that Vigilant "does not have a substantial connection with Los Angeles County as to be intimately identified with the affairs of the community." (Fletcher Decl., ¶ 5.)

Vigilant has provided no additional evidence in support of its motion to transfer venue to Orange County. The court finds that Vigilant's evidence is insufficient to show that Vigilant is not "doing business" in Los Angeles County for purposes of Section 394. As Plaintiff points out, Vigilant has not provided any evidence regarding the number of contracts it has entered into in Los Angeles County, the amount of payments Vigilant has made to parties in Los Angeles County, the number of insurance policies that Vigilant has drafted in Los Angeles County, or the number of bonds Vigilant has issued in Los Angeles County. (Opp. 2:7-13.)

Therefore, the court finds that Vigilant has not met its burden of showing that it is entitled to a transfer of venue pursuant to Code of Civil Procedure Section 394.

Accordingly, Vigilant's Motion to Transfer Venue is DENIED.

CONCLUSION

Based on the foregoing, Vigilant’s Motion to Transfer Venue is DENIED.

Prevailing party on motion is ordered to give notice of ruling.